

Funding Available for Recreation and Conservation Projects through Act 13

November, 2012

Act 13, signed into law on February 14, 2012, puts into place a drilling “impact fee” on unconventional gas wells being drilled for the production of natural gas from shale formations (such as the Marcellus Shale). The Pennsylvania Public Utility Commission (PUC) is responsible for administering the collection and distribution of the impact fees.

Some of the Act 13 fees can be used to fund recreation and conservation projects and can also be used to match Department of Conservation and Natural Resource (DCNR) Bureau of Recreation and Conservation grants.

This guide has been developed by DCNR’s Bureau of Recreation and Conservation (BRC) to assist communities and organizations interested in pursuing funding for their community recreation and conservation projects.



DCNR’s Bureau of Recreation and Conservation helps communities build connections between citizens and the outdoors by providing technical and financial assistance for community recreation and conservation projects and community revitalization efforts. For additional information on how BRC can assist you with your recreation and conservation project contact our Regional Offices at:

<http://www.dcnr.state.pa.us/brc/aboutus/index.htm?tab=RegionalOffices#RegionalOffices>

For more information on the community recreation and conservation grant program go to:

<http://www.dcnr.state.pa.us/brc/index.htm>

Sources of Act 13 Funding eligible for recreation and conservation projects:

There are three sources of funds being distributed through Act 13 that can be used for recreation and conservation purposes:

- **Local Government Funding** – Counties, Townships and Boroughs that have wells with a certain output are receiving funds based upon their number of wells. These funds can only be used for the following:
 - Construction, maintenance and repair of roadways, bridges and public infrastructure
 - Water, stormwater and sewer systems
 - Emergency preparedness and public safety
 - Environmental programs including trails, parks and recreation, open space, flood plain management, conservation districts and agricultural preservation
 - Preservation and reclamation of surface and subsurface waters
 - Tax reductions, affordable housing, social services, judicial services, career and technical centers and local or regional planning initiatives.



- **Statewide Initiatives – Marcellus Legacy Fund distribution to All Counties -**

All Counties will receive funds based upon their population that can only be used for the following:

- Planning, acquisition, development and repair of greenways, recreational trails, open space, natural areas, community conservation and beautification projects, community and heritage parks
- Water resource management

- **Statewide Initiatives - Commonwealth Financing Authority (CFA).** The CFA will administer a new fund that can be used for the following purposes:

- Acid mine drainage, abatement and cleanup
- Orphaned or abandoned oil and gas well plugging
- Compliance with PA Sewage Facilities Act
- Planning, acquisition, development and repair of greenways, recreational trails, open space, parks and beautification projects
- Programs to establish baseline water quality data on private water supplies
- Watershed programs and related projects
- Up to 25% of funds for flood control projects

CFA funds will require an application that will be reviewed by the CFA Board.

Interested parties should contact their local municipality and or County administrator for additional information. Some helpful websites are:

- **CCAP Act 13 Resources :**

<http://www.pacounties.org/GovernmentRelations/Pages/Act13.aspx>

- **Act 13 FAQs from the PUC:**

http://www.puc.state.pa.us/NaturalGas/pdf/MarcellusShale/12_Act13_FAQs.pdf

- **PUC Revenue Estimates Chart:**

<http://www.slideshare.net/MarcellusDN/pa-act-13-of-2012-revenue-distribution-calculation>

FAQs: Funding available for recreation and conservation projects with Act 13:

1. Can Counties and Municipalities use Act 13 Funds for typical DCNR Bureau of Recreation and Conservation grants for parks, land conservation, trails, greenways, rivers and other recreation projects?

- Local Government Impact fees
 - YES. Funds can be used to support planning, design and construction and land acquisition for parks, trails, greenways, recreation and land conservation projects.
- Statewide Marcellus Legacy Funds distributed to all counties
 - YES. Funds can be used to support planning, design and construction and land acquisition for parks, trails, greenways, recreation and land conservation projects.
- Commonwealth Financing Agency
 - YES. One of the categories for which funds can be sought is planning, acquisition, development and repair of greenways, recreational trails, open space, parks and beautification projects

2. Do Act 13 Funds require a match?

- Local Government Impact fees
 - NO. The funding received directly by the counties and municipalities does not require a match. However, should the counties or municipalities decide to set up a separate process for allocation of their Legacy funds, they are free to set up whatever process they deem appropriate and they could decide to set up re-allocation processes that require a match.

- Statewide Marcellus Legacy Funds distributed to all Counties
 - NO. The funding received directly by the counties does not require a match. However, should the counties decide to set up a separate process for allocation of their Legacy funds, they are free to set up whatever process they deem appropriate and they could decide to set up re-allocation processes that require a match.
- Commonwealth Financing Authority
 - Match requirements will be established by the CFA.

3. Can Act 13 Funds be used as the required match for DCNR project applications?

- Local Government Impact fees
 - YES. The County and municipal impact fee funds can be used as the match for all DCNR projects.
- Statewide Marcellus Legacy Funds distributed to all Counties
 - YES. The Legacy funds can be used as the match for all DCNR projects.
- Commonwealth Financing Authority
 - NO. Funds received through the Commonwealth Financing Agency cannot be used to match DCNR funds.

4. Are there more specific requirements delineating what Counties can use the funds for relative to parks, greenways, trails and conservation projects?

- Local Government Impact fees
 - It is our understanding that the PUC does not intend to make any further delineation about allowable uses of these funds, other than the lists of categories of funding as stated in the provisions of Act 13. PUC is recommending that recipients of these funds consult with their solicitor about questions relative to uses of these funds.
- Statewide Marcellus Legacy Funds distributed to all Counties
 - It is our understanding that the PUC does not intend to make any further delineation about allowable uses of these funds, other than the lists of categories of funding as stated in the provisions of Act 13. PUC is recommending that recipients of these funds consult with their solicitor about questions relative to uses of these funds.
- Commonwealth Financing Authority
 - The CFA will be putting forth specific application requirements and criteria that should specify uses of the funds.

5. Is there a specific application required in order to access the Act 13 Funds?

- Local Government Impact fees
 - NO. It is our understanding that funds in amounts listed in the PUC funding distribution tables will be disbursed directly to counties and municipalities prior to the December 1, 2012 date.
- Statewide Marcellus Legacy Funds distributed to all Counties
 - NO. It is our understanding that County funds based upon the funding distribution tables will be disbursed directly to counties prior to the December 1, 2012 date.
- Commonwealth Financing Authority
 - YES. Funds distributed by the CFA will require an application to be developed by the CFA.

6. Whom do you contact to pursue Act 13 Funds for recreation and conservation projects?

- Local Government Impact fees
 - Contact your county or municipal government administrator.
- Statewide Marcellus Legacy Funds distributed to all Counties
 - Contact your county government administrator.
- Commonwealth Financing Authority
 - Contact the Administrator of the CFA.
- DCNR
 - Contact the DCNR Regional Adviser <http://www.dcnr.state.pa.us/brc/grants/index.aspx>